Tata Motors Passenger Vehicles (TMPV) – DCF Valuation

A 5-year discounted cash flow (DCF) model of Tata Motors Passenger Vehicles (cars, EVs and Jaguar Land Rover), built in Excel as a finance learning project.

Result (base case)

- Intrinsic value: **~₹240 per share**
- Market price used: **₹343** (12 Aug 2026)
- Base case is about **30% below** the market price
- WACC 11.0%, terminal growth 4.0%

What's inside `Tata_Motors_DCF_Valuation.xlsx`

Sheet	Contents
Summary	Key outputs, verdict, key risks
Assumptions	Market data, WACC build-up, FY27E–FY31E forecast drivers
DCF	Revenue to free cash flow, terminal value, equity bridge, implied multiples
Sensitivity	Value per share across WACC and terminal growth
Sources & Notes	Data sources and caveats

Blue cells are inputs, black cells are formulas, and yellow cells are key assumptions.

Key takeaways

- FY26 EBITDA margin fell to 6.8% from 13.4% after JLR's production stoppage.
- The model assumes margins recover to about 12% and capex tapers toward ~1.1x D&A.
- About 93% of enterprise value is terminal value, so the result is very sensitive to WACC and growth.

Data sources

Tata Motors Q4 FY26 results release and investor presentation (14 May 2026), HDFC Sky, Autocar Pro, Arihant Research, 5paisa.

Disclaimer

Educational project, not investment advice. Forecast drivers and WACC inputs are my own assumptions, not company guidance.